

higher took between 4 and 5 months, whereas those moving lower took 3 months.

When the horn formed, the 5-month up cycle was in progress; “That's what I hoped, anyway. The chart told me price would continue moving up. It certainly climbed above the right horn low [at 31], leaving the horn visible.”

She bought the stock the week after the horn completed at 35. She hoped the horn marked an end to the short retrace and price would resume its upward trend.

When price curled around, she placed a stop at 30.88—12 cents below the lowest horn low. “I didn't think it would be low enough, but a 12% loss was all I was willing to tolerate.”

In early December, the trade confirmed her worst fears. “I was stopped out when the stock plummeted from 33 to 29.” Three weeks later the stock hit bottom at 28.50 and turned around. From high to low, the decline lasted just over 3 months and measured 19%.

Price moved swiftly upward and topped out at 57, exactly double the 28.50 low.